

Examples: United Drug was an important subsidiary of Drug, Inc., which had regularly earned and paid large dividends, gained chiefly from the manufacture of proprietary medicines and other drugs. In the first half of 1932, the consolidated income account showed earnings equal to ten times the interest on United Drug 5s, and the record of previous years was even better. While this issue was not assumed or guaranteed by Drug, Inc., investors considered the combined showing so favorable as to assure the safety of the United Drug 5s beyond question. But United Drug owned, as part of its assets and business, the stock of Louis K. Liggett Company, which operated a large number of drug stores and which was burdened by a high-rental problem similar to that of United Cigar Stores. In September 1932 Liggett's notified its landlords that unless rents were reduced it would be forced into bankruptcy.

This announcement brought rudely home to investors the fact that the still prosperous Drug, Inc., was not assuming responsibility for the liabilities of its (indirect) subsidiary, Liggett's, and they immediately became nervously conscious of the fact that Drug, Inc., was not responsible for interest payments on United Drug 5s either. Sales of these bonds resulting from this discovery depressed the price from 93 earlier in the year down to 42. At the latter figure, the \$40,000,000 of United Drug 5s were quoted at only \$17,000,000, although the parent company's stock was still selling for more than \$100,000,000 (3,500,000 shares at about 30). In the following year the "Drug, Inc., System" was voluntarily dissolved into its component parts—an unusual development—and the United Drug Co. resumed its entirely separate existence. (It has since shown an inadequate coverage for the 5% bonds.)

Consolidated Traction Company of New Jersey First 5s were obligations of a large but unprofitable subsidiary of Public Service Corporation of New Jersey. The bonds were not guaranteed by the parent company. When they matured in 1933 many of the holders accepted an offer of 65 for their bonds made by the parent company.

Saltex Looms, Inc., 1st 6s, due 1954, were obligations of a subsidiary of Sidney Blumenthal & Co., Inc., but in no way guaranteed by the parent company. The consolidated earning statements of Blumenthal regularly deducted the Saltex bond interest before showing the amount available for its own preferred stock. Interest on the bonds was defaulted, however, in 1939; and in 1940 the bonds sold at 7 while Blumenthal preferred was quoted above 70.